Maithon Power Limited

June 24, 2025

Facilities/Instruments	Amount (₹ crore)	Rating[1]	Rating Action
Long-term bank facilities	510.50	CARE AA+; Stable	Reaffirmed
Non-convertible debentures	200.00 (Reduced from 300.00)	CARE AA+; Stable	Reaffirmed

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

Ratings reaffirmation on bank facilities and non-convertible debentures (NCDs) of Maithon Power Limited (MPL), which operates a 1,050 MW thermal power plant in the Dhanbad district of Jharkhand continues to factor in strong operational performance with Plant availability factor (PAF) remaining above the normative level of 85%. PAF had declined to 87% in FY25 due to scheduled maintenance undertaken between November 2024 and January 2025, which remained above normative levels leading to full recovery of fixed charges per Central Electricity Regulatory Commission (CERC) regulations. The company also has a comfortable receivable position of 36 days (PY: 32 days), which reflects timely receipts from the off-takers.

MPL is a joint venture of the Tata Power Company Limited (TPCL) and Damodar Valley Corporation (DVC) with their respective shareholding being 74% and 26%. Rating continues to draw strength from its strong linkages with its majority shareholder TPCL (rated CARE AA+; Stable). MPL accounted for ~12% to TPCL's operational thermal capacity and ~7% to its overall generation capacity as on March 31, 2025. Ratings continue to derive strength from presence of 30-year power purchase agreements (PPAs) with multiple off-takers including Damodar Valley Corporation (DVC, 150 MW), Tata Power Trading Company Limited (TPTCL, 600 MW), and Kerala State Electricity Board Limited (KSEBL), which impart revenue visibility. TPTCL has executed Power Sale Agreements (PSAs) with Tata Power Delhi Distribution Limited (TPDDL) and West Bengal State Electricity Distribution Company Limited (WBSEDCL) for 300 MW each. The tariff is determined on a cost-plus basis by CERC, allowing for full recovery of fixed costs subject to the operations in line with normative parameters. Variable costs are fully pass-through in nature subject to within the range of normative parameters, mitigating fuel price risk. Ratings draw comfort from low fuel supply risk, underpinned by presence of long-term fuel supply agreements (FSAs) for 4.63 million MT with Central Coalfields Limited (CCL). This is sufficient to meet the coal requirement corresponding to a plant load factor (PLF) of ~83%. The company also has the flexibility to source coal from alternate avenues, including e-auctions and variation in fuel price is pass through in tariff. MPL continues to maintain a comfortable financial risk profile, with total debt to earnings before interest, taxation, depreciation, and amortisation (TD/EBITDA) at 2.3x as on March 31, 2025 (PY: 1.9x) and healthy coverage metrics, including an interest coverage of 7.05x (PY: 7.59x) and TD to gross cash accruals (GCA) of 2.98x (PY: 2.46x).

Ratings continue to be constrained considering counterparty credit risk owing to exposure to off-takers such as KSEBL and WBSEDL, which have modest credit profiles reflected by high aggregate technical & commercial (AT&C) losses and significant average cost of supply–average revenue realised (ACS–ARR) gaps. The company also remains exposed to asset concentration risk due to the plant's single-location operations. Ratings are constrained by execution risk associated with the installation of a flue gas desulphurisation (FGD) unit and recovery of this cost via subsequent tariff hikes. CARE Ratings notes that in FY25, the company's operating revenue witnessed a decline primarily considering a reduction in annual fixed charges due to lower depreciation component in fixed charges, which is in line with the extant CERC regulations. MPL has generated sufficient profits for its shareholders with a cumulative amount of ₹1,130 crore upstreamed in the last three years (FY23: ₹630 crore, FY24: ₹250 crore, FY25: ₹250 crore).

In the year, the company repaid the NCDs bearing ISIN INE082G07048 of ₹100 crore.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors

- Material improvement in the credit profile of the majority shareholder, TPCL.

[1]Complete definition of ratings assigned are available at www.careratings.com and other CARE Ratings Limited's publications.

Negative factors

- Inability of the plant to maintain normative PAF on a sustained basis leading to significant under recovery of fixed charges.
- Deterioration in MPL's financial profile as characterised by debt levels, increasing significantly or significant elongation in receivables.
- Deterioration in TPCL's credit profile or change in support stance of TPCL.

Analytical approach:

Standalone, factoring in support from majority shareholder TPCL. Ratings factor in operational and financial linkages with TPCL. MPL has common management and shares a common treasury with TPCL.

Outlook: Stable

The stable outlook is supported by presence of long-term PPA for 30 years under a cost-plus tariff structure, availability of long-term FSA, satisfactory operational performance and timely realisation of receivables.

Detailed description of key rating drivers:

Key strengths

Strong promoter and experienced management providing operational support
MPL is a 74:26 joint venture (JV) between TPCL and DVC. MPL benefits from technical and managerial support from TPCL, given the latter's vast and diversified presence in the power business, including generation, transmission, distribution, renewable, and the engineering, procurement and construction (EPC) space. The board of MPL consists of six directors, including the company's chairman, who is nominated by TPCL. MPL accounts for ~ 12% of TPCL's consolidated thermal power capacity and ~7% of TPCL's generation capacity as on March 31, 2025. MPL has been providing loans and dividends to group companies on a regular basis.

Long-term PPAs providing revenue visibility and adequate FSAs
MPL signed a 30-year PPAs for its entire capacity of 1,050 MW with multiple off-takers including DVC (150 MW), TPTCL (600 MW), and KSEBL leading to revenue visibility. TPTCL has executed PSAs with TPDDL and WBSEDCL. Tariffs are based on CERC tariff guidelines, assuring 15.5% return-on-equity (RoE), and ensuring stable cash accruals. Capacity charges are recoverable in full, if the plant availability achieves a normative PAF of 85%. Capacity charges comprises depreciation, interest on term loan, interest on working capital loan, operation and maintenance expenses and RoE (post tax). Energy charges are determined based on landed cost of fuel applied on quantity of fuel consumption at normative operating conditions. The company had received tariff order for the control period FY19-24 and true-up order for control period FY14-19 on January 08, 2022. Petition for tariff determination for control period FY24-29 has been filed. The company has also tied up for its entire coal requirement (4.63 million tonne per annum [MTPA]) through long-term FSAs with CCL. Due to healthy ACQ materialisation under linkage coal supply in the past, dependence on alternative sources such as e-auction is relatively low.

Healthy operational performance of power plant
MPL's PAF continues to be strong at 87% for FY25 although lower than 95% in FY24 and 90% in FY23 due to maintenance of plant in November 2024 to January 2025. However, the company was able to recovery entire fixed charges since plant availability was higher than normative PAF of 85%. Other operating parameters (auxiliary consumption, station heat rate [SHR], gross calorific value [GCV]) remained better than normative (PAF, auxiliary and SHR) for FY25. Given the regulated nature of MPL's business and healthy operational performance, the company has stable cash flows and profitability.

Moderate financial risk profile with coverage indicators
MPL continues to maintain a comfortable financial risk profile, supported by stable GCA and a low interest burden, resulting in healthy coverage indicators and comfortable leverage metrics. The company's TD/EBITDA stood at 2.3x as on March 31, 2025 (PY: 1.9x), which, although higher than the previous year, remains at a comfortable level. The company has availed debt undertaken for implementation of the FGD system, which is expected to be completed by FY26. Cash flows are expected to improve further upon receipt of the final tariff order for the FGD-related capital expenditure.

In FY25, the company's operating revenue declined primarily considering a reduction in total capacity charges, driven by the lower depreciation component in fixed charges in line with CERC regulations (lower depreciation rate from the 13th year onward). The profit before interest, lease rentals, depreciation and taxation (PBILDT) interest coverage improved to 7.05x (PY: 7.59x) and the TD/GCA improved to 2.98x (PY: 2.46x). Average collection period continued to be comfortable in FY24 at 36 days (PY: 32 days) considering timely payments from counterparties within the credit period available in the year.

Key weaknesses

Moderate counterparty risk

The company is exposed to counterparty credit risk owing to exposure to state distribution utilities including WBSEDCL and KSEB, which have weak credit profile. However, average payment from off-takers is within 60 days (allowed credit period) and therefore the risk remains moderate. MPL's collection period remained healthy in FY25, leading to a comfortable average collection period of 36 days in FY25.

Liquidity: Strong

MPL's liquidity profile remains strong, supported by cash and cash equivalents (including liquid investments) of ₹154.4 crore as on March 31, 2025. The company's projected cash accruals for FY26 are expected to remain adequate to comfortably meet its debt servicing obligations. Utilisation of fund-based working capital limits has remained moderate, aided by timely realisation of receivables from off-takers. The company also avails non-fund-based limits primarily for issuance of letters of credit (LCs) to fuel suppliers. As part of the Tata Group, MPL benefits from significant financial flexibility and strong access to capital markets.

Applicable criteria

Policy on Default Recognition
Notching by Factoring Linkages in Ratings
Financial Ratios – Non financial Sector
Liquidity Analysis of Non-financial sector entities
Assigning 'Outlook' or 'Rating Watch' to Credit Ratings
Infrastructure Sector Ratings
Thermal Power

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Utilities	Power	Power	Power generation

MPL is a joint venture between TPCL and DVC, with TPCL holding a 74% stake and DVC holding 26%. MPL set up a thermal power generation plant having a total capacity of 1,050 MW at Jharkhand. The first unit of 525 MW (Unit I) was commissioned in September 2011, while the second unit (Unit II) was commissioned in July 2012. MPL entered long-term PPAs for full capacity with DVC (150 MW), TPDDL (300 MW), WBSEDCL (300 MW), and KSEBL (300 MW). MPL has long-term Fuel Supply Agreements (FSAs) with subsidiaries of Coal India Limited (CIL) for its coal requirement

Brief Financials (₹ crore)	March 31, 2024 (A)	March 31, 2025 (A)
Total Operating Income	3,359.5	2,952.5
PBILDT/EBITDA	849.7	619.1
PAT	448.8	346.1
Overall gearing (times)	0.69	0.57
Interest coverage (times)	7.59	7.05

A: Audited Note: these are latest available financial results

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

Complexity level of instruments rated: Annexure-4

Lender details: Annexure-5

Annexure-1: Details of instruments/facilities

Name of the Instrument	ISIN#	Date of Issuance	Coupon Rate (%)	Maturity Date	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Debentures-Non Convertible Debentures	INE082G07055	09-Feb-2017	8.00%	09-Feb-2026	100.00	CARE AA+; Stable
Debentures-Non Convertible Debentures	INE082G07063	09-Feb-2017	8.00%	09-Feb-2027	100.00	CARE AA+; Stable
Term Loan-Long Term		-	-	Sep 30, 2032	510.50	CARE AA+; Stable

#ISIN INE082G07048 has been redeemed.

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024	Date(s) and Rating(s) assigned in 2022-2023
1	Debentures-Non Convertible Debentures	LT	200.00	CARE AA+; Stable	-	1)CARE AA+; Stable (27-Jun-24)	1)CARE AA; Stable (31-Aug-23)	1)CARE AA; Stable (02-Sep-22)
2	Term Loan-Long Term	LT	510.50	CARE AA+; Stable	-	1)CARE AA+; Stable (27-Jun-24)	1)CARE AA; Stable (31-Aug-23)	1)CARE AA; Stable (02-Sep-22)

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable

Annexure-4: Complexity level of instruments rated

Sr. No.	Name of the Instrument	Complexity Level
1	Debentures-Non Convertible Debentures	Simple
2	Term Loan-Long Term	Simple

Annexure-5: Lender details

To view lender-wise details of bank facilities please click here

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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About us:

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